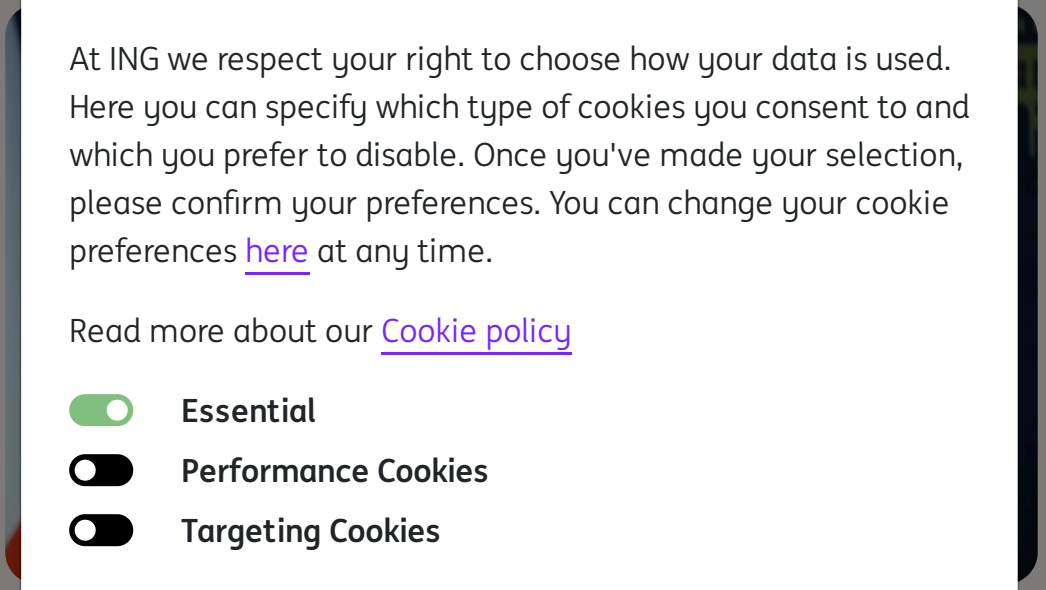
Poland's central bank is increasingly alert to inflation risks from the prolonged energy shock, despite limited evidence of second-round effects so far. Governor Adam Glapiński signalled that the Monetary Policy Council is ready to act if needed. We maintain our call for 50bp of rate hikes in 1Q27




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Energy shock drives inflation up

At November's press conference, National Bank of Poland Governor Adam Glapiński noted that CPI inflation declined in October and returned to within the central bank's target range of 2.5% +/- 1ppt. Core inflation probably declined as well. At the same time, the war in the Middle East continues to keep energy commodity prices elevated, adding to global price pressures. European gas prices are currently 2.5 times higher than at the beginning of the year. A large part of the increase in inflation in Poland reflects more expensive commodities, although regulatory measures in the fuel market,

including price caps and lower excise duties and VAT, are limiting the impact.

External supply shock dominates, with no second-round effects so far

Elevated inflation is primarily the result of an external supply shock that is beyond the reach of domestic monetary policy. Adam Glapiński said there were no clear signs that higher fuel prices were spilling over into prices elsewhere in the economy. Nor has there been a strong increase in core inflation, with CPI excluding food and energy only slightly higher than at the beginning of the year.

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through into fertiliser prices with about a one-year lag, which in turn pushes up food prices. Under current legislation, the fiscal programme reducing fuel prices is due to expire at the beginning of next year.

A balanced assessment of the risks, but readiness to act

In recent months, the NBP governor has presented a balanced assessment of inflation developments. On the one hand, he noted that the rise in prices largely reflects an external supply shock, core

inflation remains relatively stable, wage pressures are moderate, economic growth is slowing, and companies have limited scope to raise prices. On the other hand, his comments on the outlook were less optimistic. He strongly emphasised that a prolonged energy shock increases the risk of higher food prices and the emergence of second-round effects. This is also one of our main arguments for expecting interest rate hikes in early 2027.

We maintain our call for rate hikes in 1Q27

Adam Glapiński stressed that the MPC is ready to act and that we are now approaching a point at which the outlook for inflation d
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